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Arlene

Aranes Zapanta DMD, Inc., a California Corporation vs. JPMorgan Chase Bank

National Association, a National Banking Association, et al.

Motion

to Compel Arbitration and Stay Proceedings

Moving Party: Defendant

JPMorgan Chase Bank, N.A.

Responding Party: Plaintiff

Arlene Aranes Zapanta DMC, Inc.

Tentative Ruling: Grant

BACKGROUND

On January 1, 2026, Plaintiff Arlene Aranes Zapanta DMC, Inc ("Plaintiff") filed a complaint against Defendants JPMorgan Chase Bank, N.A. ("Defendant" or "Chase"), Sarah Charousapha ("Charousapha"), alleging the following causes of action: (1) violation of California Commercial Code section 4401 – payment of item not properly payable; (2) negligence in cashing altered check; (3) breach of contract; (4) violation of California Business and Professions Code section 17200 et seq.; (5) Violation of California Penal Code section 496 -receipt and withholding of stolen property; and (6) conversion.

Defendant now moves to compel

Plaintiff to arbitrate only the claims made against it under the FAA, pursuant to the arbitration provision found in the Deposit Account Agreement, effective November 16, 2025 (the "2025 DAA").

Plaintiff opposes, and Defendant replies.

MOVING PARTY POSITION

Defendant argues that a valid, written agreement to arbitrate exists between the parties and that Plaintiff's claims fall within the scope of the 2025 DAA's arbitration provision. Defendant argues that the arbitration agreement is subject to the FAA's substantive and procedural rules and that the agreement is enforceable against Plaintiff.

Defendant also seeks a stay of the proceedings pending the outcome of the arbitration.

OPPOSITION

Plaintiff contends that Defendant has not carried its burden of proof as to the issue of whether the 2025 DAA can be enforced to compel arbitration of Plaintiff's already-accrued claims against Defendant. Plaintiff contends that Defendant's own evidence shows that its motion cannot rely on the 2025 DAA to enforce arbitration or a stay in connection with Plaintiff's claims against Charousapha. Plaintiff contends that Defendant has not shown that the 2025 DAA's third-party arbitration language applies retroactively to these claims and that the 2025 opt-out language does not cure Defendant's failure to prove retroactive application of the expanded third-party provision. Plaintiff contends that Defendant has also not carried its burden to establish that Plaintiff's claims against Charousapha are subject to arbitration and that the factual intertwine between the claims against Defendant and Charousapha does not permit enforcement of arbitration.

REPLY

Defendant responds that it has established the existence of an enforceable agreement to arbitrate that covers the accrued claims based on the language of 2025 DAA and that Plaintiff failed to meet its shifted burden of proof in challenging the validity of this agreement. Defendant also responds that because Plaintiff's claims against it are subject to arbitration and the FAA's rules, the requested stay is mandated pending completion of arbitration.

ANALYSIS

I. Legal Standard

Under the Federal Arbitration Act (the "FAA"), a "written provision in any ... contract evidencing a transaction involving commerce to settle by arbitration a controversy ... shall be valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of the contract." (9 U.S.C. § 2.)

Given the liberal federal policy favoring arbitration, "the FAA limits courts' involvement to 'determining (1) whether a valid agreement to arbitrate exists and, if it does, (2) whether the agreement encompasses the dispute.'" (Cox v. Ocean View Hotel Corp. (9th Cir. 2008) 533 F.3d 1114, 1119 [quoting Chiron Corp. v. Ortho Diagnostic Sys., Inc. (9th Cir. 2000) 207 F.3d 1126, 1130; see, also, 9 U.S.C. § 2.]

If an arbitration agreement is determined to be enforceable, a court "shall on application of one of the parties stay the trial of the action until such arbitration has been had in accordance with the terms of the agreement, providing the applicant for the stay is not in default in proceeding with such arbitration." (9 U.S.C. § 3.)

II. Discussion

A. Governing Law

At the outset, the Court notes that Defendant clarified in its reply brief that it does not seek to compel arbitration of Plaintiff's claims against Charousapha. Accordingly,

in solely moving to compel arbitration of Plaintiff's claims against it, Defendant argues that the FAA's substantive and procedural rules apply under the express terms of the 2025 DAA's arbitration provision.

"[A]rbitration-related proceedings in

California courts are governed by the CAA's procedural rules unless their application is preempted or the parties have expressly agreed that the FAA's procedural rules apply." (Quach v.

California Commerce Club, Inc. (2024) 16 Cal.5th 562, 576; see Cronus Investments, Inc. v. Concierge Services (2005) 35 Cal.4th 376, 394 [clarifying that the parties may expressly designate that arbitration must proceed under the FAA's procedural rules rather than state procedural law].) "The party asserting the FAA applies to an arbitration agreement bears the burden to 'demonstrate FAA coverage by declarations and other evidence.' [Citation]."

(Evenskaas v. California Transit, Inc. (2022) 81 Cal.App.5th 285, 292.)

In reviewing the 2025 DAA, the Court finds that Defendant has demonstrated that the FAA covers the subject arbitration agreement, as the 2025 DAA's arbitration provision expressly states the following: "This arbitration agreement is entered into pursuant to the Federal Arbitration Act, 9 U.S.C. §§ 1-16 ("FAA") with respect to both substance and procedure." (Williams Decl. ¶ 8, Exh. C

("2025 DAA"), at p. 26 of 28.) By expressly stating that the arbitrated agreement is entered into "pursuant to" the FAA "with respect to both substance and procedure," this language requires that the parties arbitrate claims in conformance with the FAA's substantive and procedural rules. (Ibid.)

Moreover, there is no language in this provision to suggest that the parties intended that California arbitration law apply to any arbitration proceedings between them.

(Ibid.) Given this plainly

broad and unconditional adoption of the FAA's substantive and procedural rules, the Court finds that these rules govern the subject arbitration agreement between the parties. (Rodriguez v.

American Technologies, Inc. (2006) 136 Cal.App.4th 1110, 1122 ["Thus, there is no ambiguity regarding the parties' intent. They adopted the FAA—all of it—to govern their arbitration."]; compare id. at p. 1222 [explaining that the underlying contract's use of the phrase "pursuant to the FAA" supported a finding that the FAA governed the parties' arbitration] with Wright

v. WellQuest Elk Grove, LLC (2026) 119 Cal.App.5th 267, 280 [distinguishing the phrase “in accordance with” the FAA from “pursuant to the FAA” as the former did not specifically incorporate the FAA’s procedural rules].)

Thus, as Defendant has shown that the FAA governs the subject arbitration agreement, the Court shall proceed with determining whether a valid agreement to arbitrate exists and whether the agreement covers the underlying dispute between the parties.

B. Existence of the Agreement

Under the FAA, arbitration agreements are valid, irrevocable, and enforceable, except on such grounds that exist at law or equity for voiding a contract. (9 U.S.C. § 2.) “Even when an agreement provides that it is governed by the FAA, courts must first apply state law principles in determining whether the parties entered into an agreement to arbitrate.” (Garcia v. Stoneledge Furniture LLC (2024) 102 Cal.App.5th 41, 51; City of Vista v. Sutro & Co. (1997) 52 Cal.App.4th 401 [“Whether the parties formed a valid agreement to arbitrate is determined under general California contract law.”].)

“Although the burden of persuasion is always on the moving party to prove the existence of a valid agreement to arbitrate the controversy, the burden of production may shift in a three-step process.” (Brockman v. Kaiser Foundation Hospitals (2025) 114 Cal.App.5th 569, 586.) At the first step, “a movant need not ‘follow the normal procedures of document authentication and need only ‘allege the existence of an agreement and support the allegation as provided in rule [3.1330].’ [Citation.]” (Iyere v. Wise Auto Group (2023) 87 Cal.App.5th 747, 755; see Cal. Rules of Court, rule 3.1330.)

Here, Defendant submitted a copy of the signed acknowledgment form for the Business Signature Card (the “Signature Card”), which was signed on December 1, 2025, by Arlene Aranes Zapanta and Ramulfo Fernandez Zapanta Jr. for Plaintiff’s Chase Business Complete Checking Account (the “Account”). (Williams Decl. ¶ 7, Exh. B (“Signature Card”).) Plaintiff is identified as the “Depositor” on the Signature Card. In addition, the “date opened” for the Account is stated as April 28, 2003. (Ibid.) The Signature Card also includes the following acknowledgment:

By

signing this Signature Card, the Depositor applies to open a deposit account at JPMorgan Chase Bank, N.A. (the "Bank"). The Depositor represents and warrants that the (i) the signatures appearing below are genuine or facsimile signatures of the person(s) authorizes to transact business and (ii) all necessary actions or formalities, where necessary, have been taken to authorize the named person(s) to act. The Bank is entitled to rely on the authority of the named person(s) until written revocation of such authority is received by the Bank. The Depositor certifies that the information provided by the Bank is true to the best of its knowledge and authorizes the Bank, at its discretion, to obtain credit reports on the Depositor. The Depositor acknowledges receipt of the Bank's Deposit Account Agreement or other applicable account agreement, which include all provisions that apply to this deposit account, and other agreements and service terms for account analysis and other treasury management services if applicable, and agree to be bound by the terms and conditions contained therein as amended from time to time.

(Ibid.) As the Signature Card was signed on December 1, 2025, and as the effective date of the 2025 DAA was November 16, 2025, the 2025 DAA was the effective Deposit Account Agreement referenced in the Signature Card and incorporated therein. (See Signature Card; see generally 2025 DAA.)

The

arbitration provision in the 2025 DAA states as follows:

X. Arbitration; Resolving Disputes

You

and we agree that upon the election of either of us, any claims or disputes will be resolved by binding arbitration as defined and discussed below, and not through litigation in any court (except for matters in small claims court).

This

arbitration agreement is entered into pursuant to the Federal Arbitration Act, 9 U.S.C. §§ 1-16 ("FAA") with respect to both substance and procedure.

YOU

HAVE A RIGHT TO OPT OUT OF THIS AGREEMENT TO ARBITRATE. UNLESS YOU OPT OUT OF

ARBITRATION IN THE MANNER DESCRIBED BELOW, YOU AND WE ARE WAIVING THE RIGHT TO HAVE OUR DISPUTE HEARD BEFORE A JUDGE OR JURY, OR OTHERWISE TO BE DECIDED BY A COURT OR GOVERNMENT TRIBUNAL, AND YOU AND WE ARE ALSO WAIVING ANY ABILITY TO ASSERT OR PARTICIPATE IN A CLASS, REPRESENTATIVE, OR CONSOLIDATED PROCEEDING, WHETHER IN COURT OR IN ARBITRATION. ALL DISPUTES, EXCEPT AS STATED BELOW, MUST BE RESOLVED BY BINDING ARBITRATION WHEN EITHER YOU OR WE REQUEST IT.

What claims or disputes are subject to arbitration?

Claims

or disputed factual or legal issues between you and us that arise out of or relate in any way to any aspect of our relationship, interactions, or dealings with each other, including but not limited to your deposit account, transactions involving your deposit account, whether actual, potential, canceled, or other transactions, any product, service, or agreement with us, or interactions of any kind with Chase employees or agents are subject to arbitration. Additionally, any claims or disputed factual or legal issue arising from or relating in any way to this agreement, any prior account agreement between us, the advertising of our products, or the application for, or the denial, approval or establishment of your account are included. Claims or disputed factual or legal issues that fall within the scope of this arbitration provision are subject to arbitration, regardless of what legal claim or theory they are based on or whether they seek legal or equitable remedies. Arbitration applies to any and all such claims or disputed factual or legal issues, whether they arose in the past, may currently exist, or may arise in the future. All such claims or disputed factual or legal issues are referred to in this section as "Claims."

The

only exception to arbitration of Claims is that both you and we have the right to pursue a Claim in a small claims court instead of arbitration, if the Claim is in that court's jurisdiction and proceeds on an individual basis.

Any

disputes regarding whether any Claim is subject to arbitration and/or the scope of this arbitration provision shall be decided by a court, not the arbitrator

Can I (customer) cancel or opt out of this agreement to arbitrate?

You

have the right to opt out of this agreement to arbitrate if you tell us within sixty (60) days of opening your account. If you want to opt out, the exclusive way to do so is by calling us at 1-800-935-9935. Any other method, form, or means of opting out shall be treated as being invalid or ineffective. Requests to opt out of this agreement that are made more than sixty (60) days after opening your account also are invalid. If you already have pending litigation or arbitration against/with us when you opt out, any request to opt out of this arbitration clause will not apply to that litigation or arbitration. This agreement to arbitrate will apply without limitation, regardless of whether 1) your account is closed; 2) you pay us in full any outstanding debt you owe; or 3) you file for bankruptcy. Opting out of this agreement to arbitrate will not affect the other provisions of this agreement. If you validly opt out of this agreement to arbitrate, your decision to opt out will apply only to this arbitration agreement and not any other arbitration agreement or any accounts for which the opt out period has already passed.

[...]

Does arbitration apply to Claims involving third parties?

Arbitration

applies whenever there is a Claim between you and us. If a third party is also involved in a Claim between you and us, then the Claim will be decided with respect to the third party in arbitration as well, and it must be named as a party in accordance with the rules of procedure governing the arbitration. No award or relief will be granted by the arbitrator except on behalf of, or against, a named party. For purposes of arbitration, "you" includes any person who is listed on your account or claims a right or interest in your account, and "we" and "us" includes JPMorgan Chase Bank, N.A., all its affiliates, third-party beneficiaries of this agreement and all third parties who are regarded as agents or representatives of ours in connection with a Claim. (If we assign your account to an unaffiliated third party, then "we" includes that third party.) The arbitration may not be consolidated with any other arbitration proceeding.

How does arbitration work?

Arbitrations

between us shall be administered by the American Arbitration Association

("AAA"). AAA shall apply its Consumer Arbitration Rules in effect at the time the arbitration is commenced and the Mass Arbitration Supplementary Rules to mass arbitration matters including the additional rules explained below ("What about mass arbitration matters?"). (The Consumer Arbitration Rules are currently available at <https://www.adr.org/sites/default/files/Consumer%20Rules.pdf>, and the Mass Arbitration Supplementary Rules are currently available at https://www.adr.org/sites/default/files/Mass_Arbitration_Supplementary_Rules.pdf). A single arbitrator shall conduct proceedings under the Consumer Arbitration Rules, and a Process Arbitrator and single Merits Arbitrator shall conduct each mass arbitration case. If there is a conflict between the applicable AAA rules and procedures and this arbitration agreement and/or this agreement, this arbitration agreement and this agreement will control. In the event that AAA is unable to handle the Claim for any reason, then the matter shall be arbitrated instead by a neutral arbitrator selected by agreement of the parties (or, if the parties cannot agree, selected by a court in accordance with the FAA), pursuant to the AAA rules of procedure.

The

Parties agree that, upon motion by either of us, any arbitrator shall have the power to decide dispositive issues of law prior to hearing, consistent with Federal Rules of Civil Procedure 12 and 56, and will decide the Claim in accordance with all applicable substantive law, including the Uniform Commercial Code, statutes of limitation, whether you have completed the steps necessary to initiate the suit, and recognized principles of equity, and will honor all claims of privilege recognized by law. The arbitrator will have the power to award to a party any damages or relief as permitted by the law and the agreement between you and us (including the limitations set forth above). All pleadings, information and documents exchanged, and the arbitrator's ruling shall be treated as confidential and have no precedential value. However, if either Party seeks to confirm the arbitrator's decision in court, the Parties agree that the documents necessary for such confirmation need not be filed under seal.

Is the arbitrator's decision final? Is there an appeal process?

Unless

appealed pursuant to the terms in this section, the arbitration ruling will be considered final, binding, and enforceable by any court having jurisdiction. A

party may file a notice of appeal pursuant to and governed by the AAA's Optional Appellate Arbitration Rules, currently available at https://www.adr.org/sites/default/files/AAA-ICDR_Optional_Appellate_Arbitration_Rules.pdf. A party may only appeal on the grounds that the Arbitration Award is based upon (1) an error of law that is material and prejudicial (reviewed de novo) and/or (2) determination of facts that are erroneous (reviewed for clear error). The appeal tribunal shall render its decision exclusively on the record before the arbitrator. For the avoidance of doubt, and consistent with AAA Optional Appellate Arbitration Rule A-19, under no circumstances shall the appeal tribunal order a new arbitration hearing or send the case back to the original arbitrator

Who will pay for costs

Each

Party will be responsible for the arbitration costs as allocated by the applicable AAA rules (www.adr.org). However, except for claims filed as part of a mass arbitration, if the arbitrator ultimately rules in your favor, you will be entitled to reimbursement by Chase for all fees you paid to the AAA.

How do I (customer) file an arbitration claim?

Rules

and forms may be obtained from, and Claims may be filed with, the AAA (www.adr.org). Arbitration hearings will take place in the federal judicial district that includes your address at the time the Claim is filed, unless the parties agree to a different place.

(2025 DAA, at pp. 26–28 of 28.)

Based

on the prima facie evidence provided, the Court finds that Defendant has met its initial burden in proving the existence of a written agreement between the parties, thus shifting the burden of production to Plaintiff.

“If the moving party meets its initial prima facie burden and the opposing party disputes the agreement, then in the second step, the opposing party bears the burden of producing evidence to challenge the authenticity of the agreement. [Citation.] The opposing party can do this

in several ways. For example, the opposing party may testify under oath or declare under penalty of perjury that the party never saw or does not remember seeing the agreement, or that the party never signed or does not remember signing the agreement.” (Gamboa v. Northeast Community Clinic (2021) 72 Cal.App.5th 158, 165.) “If the opposing party meets its burden of producing evidence, then in the third step, the moving party must establish with admissible evidence a valid arbitration agreement between the parties. The burden of proving the agreement by a preponderance of the evidence remains with the moving party.” (Id. at p. 166.)

Although Plaintiff contends that Defendant’s “own evidence does not clearly establish which arbitration provision governed Plaintiff’s claims when they accrued, how the later 2025 terms were delivered or accepted before the alleged losses occurred, or how a post-loss signature card retroactively applied to claims that had already matured,” (Opp’n at p. 6), Plaintiff failed to offer any evidence controverting the validity of the 2025 DAA, including any evidence showing that Plaintiff’s secretaries were uninformed of the 2025 DAA’s existence, do not recall or never saw the 2025 DAA, or were unable to access a copy of it prior to executing the Signature Card on Plaintiff’s behalf, (see Mirkhan Decl. ¶¶ 2–8). Given the absence of any such evidence, the Court finds that Plaintiff has failed to carry its shifted burden of proof.

Thus,
based on the record evidence, the Court finds a valid arbitration agreement exists.

B. Scope of the Agreement

In determining whether the parties actually agreed to arbitrate the underlying dispute, the FAA “establishes that, as a matter of federal law, any doubts concerning the scope of arbitrable issues should be resolved in favor of arbitration.” (Chiron Corp., supra, 207 F.3d at p. 1130 [citing Moses H. Cone Memorial Hosp. v. Mercury Const. (1983) 460 U.S. 1, 24].)

Here, the 2025 DAA’s arbitration provision states
as follows regarding its scope:

What claims or disputes are subject to arbitration?

Claims

or disputed factual or legal issues between you and us that arise out of or relate in any way to any aspect of our relationship, interactions, or dealings with each other, including but not limited to your deposit account, transactions involving your deposit account, whether actual, potential, canceled, or other transactions, any product, service, or agreement with us, or interactions of any kind with Chase employees or agents are subject to arbitration. Additionally, any claims or disputed factual or legal issue arising from or relating in any way to this agreement, any prior account agreement between us, the advertising of our products, or the application for, or the denial, approval or establishment of your account are included. Claims or disputed factual or legal issues that fall within the scope of this arbitration provision are subject to arbitration, regardless of what legal claim or theory they are based on or whether they seek legal or equitable remedies. Arbitration applies to any and all such claims or disputed factual or legal issues, whether they arose in the past, may currently exist, or may arise in the future. All such claims or disputed factual or legal issues are referred to in this section as "Claims."

The

only exception to arbitration of Claims is that both you and we have the right to pursue a Claim in a small claims court instead of arbitration, if the Claim is in that court's jurisdiction and proceeds on an individual basis.

Any

disputes regarding whether any Claim is subject to arbitration and/or the scope of this arbitration provision shall be decided by a court, not the arbitrator

(2025 DAA, at p. 26 of 28.)

As the scope of arbitrable issues is

expressly defined to include any and all "claims or disputed factual or legal issues, whether they arose in the past, may currently exist, or may arise in the future," (2025 DAA, at p. 26 of 28), the arbitration provision encompasses Plaintiff's claims against Defendant arising out of the alleged unauthorized transactions that occurred between June 4, 2024 and November 25, 2025, (FAC ¶¶ 15–19), even if those transactions predated the 2025 DAA and Signature Card. Furthermore, "the 'contention that an agreement to arbitrate a dispute must pre-date the actions giving rise to the dispute is misplaced. Such a suggestion runs

contrary to contract principles which govern arbitration agreements.’

[Citation.]” (Salgado v. Carrows

Restaurants, Inc. (2019) 33 Cal.App.5th 356, 361.) Thus, the Court finds that Plaintiff’s claims against Defendant in the instant action lie within the scope of the arbitration provision.

Accordingly, as the Court determined that a valid arbitration agreement exists between the parties and that this agreement encompasses the underlying dispute between them, and as no other defenses to agreement’s enforcement have been provided by Plaintiff, the Court finds that the 2025 DAA’s arbitration provision is enforceable against Plaintiff as to only its claims against Defendant.

As to the effect of Charousapha’s claims on the enforceability of this arbitration agreement between Plaintiff and Defendant, Plaintiff is unable to rely on the presence of this third-party claim as a basis for denying the motion because the express language of the 2025 DAA makes clear that Code of Civil Procedure section 1281.2(c) is preempted by the FAA’s procedural rules. (2025 DAA, at p. 26 of 28; see, e.g., Rodriguez, supra, 136 Cal.App.4th at p. 1115 [holding that Section 1281.2(c) was preempted by the parties’ express contractual language and that the trial court erred in denying the motion to compel on this basis].) However, as the parties do not appear to dispute that the claims against Charousapha are not subject to arbitration, Charousapha is not bound by the FAA’s rules, and the Court may properly exercise its discretion under Section 1281.2(c) to stay the action as to the claims made against her pending the outcome of arbitration. (See, e.g., id. at pp. 1122–1123.)

Therefore, the motion to compel arbitration and stay proceedings is granted.

RULING

Defendant

JPMorgan Chase Bank, N.A.’s Motion to Compel Arbitration and Stay Proceedings is GRANTED. The Court sets a Post-Arbitration Status Conference for September 16, 2027, at 8:30 a.m.